

Introduction to Business Ethics

- History has shown that accountants occupy an important position within the organisation
- The financial well-being is of fundamental importance to all stakeholders
- Unlike other employees of the organisation an accountant's responsibility is not exclusively to satisfy the needs of an individual client or employer
- He/she need not blindly follow the commands of his/her employer or other parties
- For this reason, those who work in the accounting profession ought to act in the public interest in all their endeavours
- Accountants are tasked by various laws, regulations and standards to act ethically in conducting their operations
- Acting ethically involves observing and adhering to ethics
- **Ethics** are defined as the moral principles that govern a person's behaviour or the conduct of an activity.
- **Ethics** or moral philosophy is a branch of philosophy that involves systematizing, defending, and recommending concepts of right and wrong conduct.
- **Ethics** concern an individual's moral judgements about right and wrong. Decisions taken within an organisation may be made by individuals or groups, but whoever makes them will be influenced by the culture of the company
- **Ethical** behaviour and corporate social responsibility can bring significant benefits to a business.
- What exactly constitutes ethical behaviour or the exact nature of it varies
- Usually ethics are explicitly set out in various places including:
 - o the law for example the Companies Act
 - o Professional Accounting Boards such as ACCA, ICAZ and CIMA have their own codes of conduct
 - o The International Accounting Standards/International Financial Reporting Standards
 - o the relevant organisation's Code of Conduct
- Despite the differences in the actual code of conduct that has to be followed
- In general, acting ethically means an accountant should comply with the following fundamental principles:
 - a. integrity
 - b. objectivity
 - c. Professional competence and due care

d. Confidentiality

e. Professional behaviour/Professionalism

- At the heart of ethics is the concept of compliance
- An accountant must comply [follow]

set ethical guidelines

- In addition, an accountant must take note of any impediments/threats that might cause him/her not to comply with set ethical guidelines and take appropriate action to ensure that they are able to comply
- An example of a threat to ethical behaviour is conflict of interest for in such cases the accountant may recuse himself/herself
- Below we will now define and look at the meaning of each of the above listed principles

Integrity

- It involves strict adherence to ethics without wavering or exception
- To demonstrate this an accountant should be straightforward, honest and truthful in all professional and business relationships
- Acting with integrity means for example an accountant will not endorse or give information that they believe is materially false or to give misleading statements, to lie by omission
- For example, an account must not prepare or endorse financial statements that he/she know don't show a true and fair position on the business

Objectivity

- An accountant should strive (as far as possible or practicable) to reduce or eliminate biases, prejudices, or subjective evaluations by relying on verifiable data
- Not allowing bias, conflict of interest or the influence of other people to override your professional judgement involves for example relying on verifiable source documents when collecting and presenting financial information and data, dealing with cases of conflict of interest etc

Competence

- An accountant is required to maintain professional knowledge and skill at the level required to ensure that a client or employer receives competent professional service based on current developments in practice, legislation and techniques and act diligently and in accordance with applicable technical and professional standards
- This means an accountant must constantly appraise themselves of any changes in accounting terms rules and regulations to ensure that they can do their job
- This might mean obtaining new necessary qualifications for example

Confidentiality

- An accountant is required to respect the confidentiality of information acquired as a result of professional and business relationships and, therefore, not disclose any such information to third parties without proper and specific authority, unless there is a legal or professional right or duty to disclose, nor use the information for the personal advantage of the accountant or third parties (e.g. friends)
- What this means is that an accountant is required to keep confidential any material that they handle in the course of their jobs
- This does not apply however for example when such information shows the business is breaking the law

Professionalism

- An accountant is supposed to comply with relevant laws and regulations
- That is, they are required to act in a professional manner
- Accounts must also avoid any action that could negatively affect the reputation of the profession
- This naturally involves carrying out their duty in a competent and proficient manner

NB Ethics involve a lot of legal terms that may be difficult to understand, students are exhorted to read these notes carefully and more than once in order to grasp the meaning of these terms. If you want a future in accounting you have to understand this material as it is at the core of the accounting profession. Indeed, the language

What use is ethics?

If ethical theories are to be useful in practice, they need to affect the way human beings behave. Some philosophers think that ethics does do this. They argue that if a person realises that it would be morally good to do something then it would be irrational for that person not to do it.

Ethics needs to provide answers.

But human beings often behave irrationally - they follow their 'gut instinct' even when their head suggests a different course of action. However, ethics does provide good tools for thinking about moral issues.

Ethics can provide a moral map

Most moral issues get us pretty worked up - think of abortion and euthanasia for starters. Because these are such emotional issues, we often let our hearts do the arguing while our brains just go with the flow. But there's another way of tackling these issues, and that's where philosophers can come in - they offer us ethical rules and principles that enable us to take a cooler view of moral problems. So, ethics provides us with a moral map, a framework that we can use to find our way through difficult issues.

Ethics can pinpoint a disagreement

Using the framework of ethics, two people who are arguing a moral issue can often find that what they disagree about is just one particular part of the issue, and that they broadly agree on everything else. That can take a lot of heat out of the argument, and sometimes even hint at a way for them to resolve their problem. But sometimes ethics doesn't provide people with the sort of help that they really want.

Ethics doesn't give right answers

Ethics doesn't always show the right answer to moral problems. Indeed, more and more people think that for many ethical issues there isn't a single right answer - just a set of principles that can be applied to particular cases to give those involved some clear choices. Some philosophers go further and say that all ethics can do is eliminate confusion and clarify the issues. After that it's up to each individual to come to their own conclusions.

Ethics can give several answers

Many people want there to be a single right answer to ethical questions. They find moral ambiguity hard to live with because they genuinely want to do the 'right' thing, and even if they can't work out what that right thing is, they like the idea that 'somewhere' there is one right answer.

But often there isn't one right answer - there may be several right answers, or just some least worst answers - and the individual must choose between them.

For others moral ambiguity is difficult because it forces them to take responsibility for their own choices and actions, rather than falling back on convenient rules and customs. In particular cases to give those involved some clear choices.

Ethical behaviour and corporate social responsibility can bring significant benefits to a business. For example, they may:

- Attract customers to the firm's products, which means boosting sales and profits
- Make employees want to stay with the business, reduce labour turnover and therefore increase productivity
- Attract more employees wanting to work for the business, reduce recruitment costs and enable the company to get the most talented employees
- Attract investors and keep the company's share price high, thereby protecting the business from takeover. Knowing that the company they deal with has stated their morals and made a promise to work in an ethical and responsible manner allows investors) peace of mind that their money is being used in a way that arranges with their own moral standing.

When working for a company with strong business ethics, employees are comfortable in the knowledge that they are not by their own action allowing unethical practices to continue.

Customers are at ease buying products or services from a company they know to source their materials and labour in an ethical and responsible way. For example, a coffee company which states all their raw beans are picked from sustainable plants where no deforestation has occurred, by people paid a good living wage, in an area where investments have been made to ensure that producing the coffee for a foreign market has not damaged the local way of life,

will find that all these elements of their buying strategy becomes a selling point for their final product.

A company which sets out to work within its own ethical guidelines is also less at risk of being fined for poor behaviour, and less likely to find themselves in breach of one of a large number of laws concerning required behaviour.

Ethical code or carrying out their social responsibility leads to wider consequences. Unethical behaviour may damage a firm's reputation and make it less appealing to stakeholders. This means that profits could fall as a result.

The natural world can be affected by a lack of business ethics. For example, a business which does not show care for where it disposes its waste products, or fails to take a long-term view when buying up land for development, is damaging the world in which every human being live, and damaging the future prospects of all companies.

Ethics is important to businesses for many reasons. Businesses can increase sales or increase their reputation.

Still Stalled